



How it works

A recession is a period during which the economy, as measured by its GDP, is shrinking, meaning that less is being bought and sold in that economy. This will usually also lead to falling wages or higher unemployment. As more people are out of work, or earning less than they previously were, they have less

money to spend. They begin to save their money, fearing for their economic future, which has a further negative effect on the economy as a whole, as it reduces the overall money supply. Demand for goods falls further, companies are forced to cut costs and production, and the recession can worsen. This sets up a vicious circle of decline.



As economic activity

decreases, people's expectations about the future worsen. They borrow less money and banks, in turn, may cut lending for fear that anyone borrowing money is less likely to repay it.



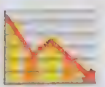
Unemployed workers

have less money to spend, and by spending less they cause demand for consumer goods to fall still further. Workers on reduced hours and lower wages will also spend less and try to save more.



Companies produce fewer consumer goods,

which further reduces their demand for labor and raw materials, slows their growth rate, and causes their profits to fall. Firms begin to fear for their futures and invest even less.



Fewer capital goods,

such as machinery and equipment, are sold as companies reduce investment and spending. This hits the profits of the companies producing capital goods and reduces their demand for labor.



NEED TO KNOW

- › **Expansionary policy** Attempts by a government to make an economy grow faster—for example by cutting taxes, raising government spending, cutting interest rates, or making money easier to borrow.
- › **Contractionary policy** Attempts by a government to slow an economy down, usually to try to avoid inflation—for example by raising taxes, cutting government spending, or both. It usually involves raising interest rates and making money harder to borrow.

2.4%
the amount
by which the
US economy
grew in 2015